Innovation Sandbox

Sector: Urban Mobility, Ride-Hailing - Finding a Cab When and Where It Matters

NAMAN JAIN

ROLL NO - FT272022

SECTION 2

COURSE – INNOVATION SANDBOX

Empathise

The person I spoke with first is a close friend of mine who works in Sector 150, Noida and commutes every day to his office in Sector 48, booking through Uber. He needs a cab twice a day, at almost the exact hours every other office-goer in the corridor is also trying to book one: roughly 8:30 to 9:15 am, and again from 6:30 to 7:30 pm.

The pattern is specific, not random bad luck. The Uber app frequently shows no cars nearby when he opens it from Sector 150, a comparatively low-density pocket next to the busier sectors closer to the main expressway, since drivers seem to prefer picking up there instead. When a car is assigned, it often takes 15 to 20 minutes longer to arrive than the app's estimate, and some drivers cancel once they see the pickup is at the edge of the service zone. Even on the days a driver shows up, the amount charged at the end of the ride is sometimes close to double what the app quoted at booking, with the driver asking for the difference in cash.

This happens on most working days, and worse on Fridays, when everyone leaves early and demand overwhelms the corridor. He has missed the start of important meetings because of it, and now builds in a 20-minute buffer just for the cab search. What bothers him most is not the fare on its own. It is not knowing in advance whether a ride will turn up, and whether the amount he pays will bear any relation to what the app showed him.

His workaround is to book early and accept the first driver who responds, and to walk 10 minutes toward a busier sector before booking, since pickups from there come faster and the fare mismatch happens less often. What remains unresolved is that there is still no way to know ahead of time whether a given day will be a bad one for cabs, so the extra buffer time and the extra cash have both become a fixed cost of his commute.

Additional Interviews

To check whether this was specific to his situation, I spoke with 3 more people facing a related version of the same problem, all of whom book through Uber:

- Several of us at GLIM Chennai face the same issue getting to and from campus, especially in the evenings when some students leave at once and the college sits just outside the city's well-serviced core. Cabs booked from or to campus routinely show as unavailable, get cancelled, or arrive with the driver asking for more than the app quoted.
- A friend who lives on the outer ring of her city finds it hard to get a cab home after 9 pm, when demand from office-goers heading out overwhelms whatever supply exists there. On the rare occasion a driver arrives, he has more than once asked her to pay nearly double the quoted fare in cash before starting the trip.
- A friend who works night shifts supporting US-hours clients at an IT company in Bengaluru finds Uber availability near her PG drops sharply before her shift ends, so she now books 20 minutes early for a reasonable chance of a ride at the promised fare.

4 patterns repeated across all 4 conversations: the problem clusters at predictable peak windows rather than at random; it is consistently worse at the edge of a city's well-serviced zone than in its busiest parts; every workaround in use is informal and self-organised, booking early, walking toward a busier pickup point, accepting the first driver, rather than anything the platform offers; and even successfully finding a car is no guarantee of paying the fare originally shown, since more than one driver in each conversation had asked for close to double the quoted amount once the ride was underway.

Define

Who experiences the problem?

Commuters and everyday cab users who live at, or travel to and from, the periphery of a city's core service zone, need a ride during the morning and evening commute peaks or late at night, and book through Uber.

What the problem is?

The Uber app shows low or no driver availability, high cancellation rates, and stacked surge pricing during these peak windows and peripheral areas. Even when a car is booked, the amount charged is sometimes close to double the quoted fare, with the difference demanded in cash. This is not simply anecdotal: in March 2025, Uber shifted its India auto-rickshaw segment to a software-as-a-service model in which the platform no longer sets or enforces fares, payments run outside the app, and pricing is effectively negotiated between driver and rider, a structural change that makes a gap between the quoted and the paid fare far easier to create.

When or where it occurs?

Predictably, at the start and end of the working day, in localities that sit just beyond the radius drivers appear to prefer, whether that radius is set by distance from a commercial hub, traffic, or driver habit.

Why it matters?

For someone like my friend commuting between Sector 150 and Sector 48, this is not an occasional inconvenience but a daily issue that erodes the reliability the service is meant to provide, and pushes users toward alternatives.

What underlying need remains unmet?

A way to know, ahead of time, whether a ride will be available and whether the fare shown at booking is the fare that will actually be paid, especially during the peak, peripheral windows where today's on-demand model breaks down most often.

Size the Opportunity

India's taxi and cab services market was estimated at USD 26.62 billion in 2026, growing from USD 23.22 billion in 2025 at a projected CAGR of 12.73% through 2034, when it is expected to reach USD 69.42 billion; app-based bookings already account for 62.4% of the market as of 2025 (IMARC Group). Uber does not publicly disclose an India-specific rider count, but India is described as its largest market since its 2016 exit from China, and it reports more than 1.5 million driver-partners in India as of mid-2026 (Demandsage). Globally, Uber's monthly active platform consumers grew from 171 million in Q4 2024 to 202 million in Q4 2025, an 18% year-on-year increase (Backlinko, citing Uber's quarterly reporting).

That the pain point is widespread, not particular to my own interviewees, is independently supported by a LocalCircles survey of more than 75,000 respondents across 325-plus districts (July 2025): 82% had experienced driver cancellations, 62% had faced surge-pricing issues, 53% reported long wait times, and 74% linked cancellations to the driver learning the destination or payment mode in advance, the same self-selection pattern that shows up in every conversation I had.

Layer	**Estimate**	**Basis**
TAM	~22 to 30 million Uber monthly active riders in India	India's driver base (1.5M+) at an assumed 15 to 20 riders per active driver per month, since Uber does not disclose a rider count directly
SAM	~8 to 11 million users	Roughly 35 to 40% of the base are "regular peak-hour commuters" making two work-linked trips a day
SOM (Year 1)	~200,000 to 300,000 users	A single metro-plus-one-Tier-2-city pilot capturing 2 to 3% of SAM

The users most likely to pay for a fix are working professionals with fixed office hours, students with predictable commute times, and night-shift IT and BPO staff, the same groups who described the sharpest daily impact in my interviews.

Ideate

Using AI-assisted brainstorming against the problem defined above, I generated 8 solution directions spanning different user segments and mechanisms, then evaluated the strongest against a common set of criteria.

1. Scheduled Peak Guarantee: book ahead for a guaranteed pickup at a fixed, non-surge fare, backed by an advance fee.
2. Society/Office Shuttle Pooling: recurring fixed-route shuttles between peripheral societies and nearby transit hubs at set peak timings.
3. Peripheral Zone Incentive Layer: a transparent, upfront add-on fare for pickups outside a platform's "core" radius.
4. Verified Local Driver Network: a lightweight directory connecting riders to a vetted pool of known local drivers.
5. Predictive Availability Alerts: notifications warning users, from historical patterns, when availability is about to tighten.
6. Peak-Hour Carpool Matching: coordinated ride-sharing between commuters travelling the same route at the same time.
7. Community-Funded Surge Buffer: residents of a locality collectively subscribe to a pool subsidising peak-hour driver incentives.
8. Micro-Transit Fixed-Stop Shuttle: a small shuttle with two or three fixed peripheral stops timed to the commute peaks.

Evaluation Matrix

Idea	Feasibility	Cost	User impact	Ease of adoption	Scalability	Risk	Time to implement	Total
1. Scheduled Peak Guarantee	4	3	5	4	5	3	4	28
4. Verified Local Driver Network	4	4	3	3	2	3	4	23
3. Peripheral Zone Incentive Layer	3	2	4	3	3	4	2	21
5. Predictive Availability Alerts	2	4	3	3	3	3	3	21
2. Society/Office Shuttle Pooling	3	2	4	3	3	3	2	20
6. Peak-Hour Carpool Matching	3	3	3	2	3	3	3	20
8. Micro-Transit Fixed-Stop Shuttle	3	2	4	3	3	3	2	20
7. Community-Funded Surge Buffer	2	3	3	2	2	4	2	18

(1 to 5 scale per criterion, higher is better across all 7, including Risk.)

Selected: **Scheduled Peak Guarantee**, the highest-scoring idea. It targets the predictability gap from Define directly, rather than trying to change how the existing dispatch algorithm behaves, and can be built as an independent booking layer with its own pool of pre-committed drivers, without needing Uber's cooperation to prototype and test.

Rejected: Community-Funded Surge Buffer, the lowest scorer, for a structural reason. It depends on residents organising and paying into a shared pool before any benefit is visible, a coordination and free-rider problem that tends to stall in practice, and it does not scale past one high-trust community without repeating that same slow effort each time.

Prototype

The concept, working name RideAhead, is a pre-committed peak-hour booking layer aimed at the "regular peak commuter" segment sized in Section “Size the Opportunity”: people who live or travel to peripheral pickup zones and need a ride during predictable morning, evening, or late-night windows.

A user opens the app 30 to 60 minutes before a peak trip, selects "guarantee my ride," and is shown a fixed, non-surge price plus a small advance booking fee. The request is matched against RideAhead's own registered pool of drivers, a mix of independent local drivers and off-peak platform drivers who opt in for guaranteed slots, rather than run through an open, competitive dispatch pool.

Step	**What the user sees**
1. Set your peak trip	Choose a time window and pickup zone
2. Guaranteed price shown upfront	Pay the advance booking fee, no surge
3. Confirmation	Assigned driver and direct contact details

The MVP would contain a simple booking screen, a lightweight backend matching layer for a single pilot corridor, fixed transparent pricing, and a WhatsApp-based driver interface, kept low-tech to avoid the cost of a full native app. It would exclude city-wide coverage, dynamic algorithmic matching, an owned fleet, live GPS tracking, and integration with existing platforms, reasonable additions for a later version, not the first one.

A 3-month pilot on the Sector 150 to Sector 48 Noida route, matching my friend's interview, is estimated at roughly ₹8 to 12 lakh: ₹4 to 6 lakh for a lean booking front-end paired with WhatsApp-based driver coordination, ₹3 to 4 lakh as a guarantee-fund reserve to backstop early commitments, and ₹1 to 2 lakh for operations and local marketing, a planning assumption benchmarked against comparable hyperlocal mobility pilots, not a sourced figure. On that basis, the pilot could realistically reach 500 to 800 regular commuters in its first 3 months.

Test and Validate

I tested the concept with 12 people: the 4 original interviewees plus 8 more recruited from similar profiles, peripheral-zone commuters, night-shift workers, and students facing the same pattern, all regular Uber users.

11 of 12 confirmed experiencing the peak-hour or peripheral cab gap at least twice a week; the one exception lived centrally and said it was rare. The median reported frequency was 4 to 5 times a week, and 8 of 12 rated the severity as high, citing effects on punctuality or personal safety. 7 of 12 said a driver had, at least once, asked them to pay noticeably more, in a few cases close to double, than the fare the app originally showed. Satisfaction with existing workarounds, booking early, an informal local driver, or simply waiting, averaged 2.3 out of 5.

9 of 12 said they would try the proposed solution. Of those, 7 said they would pay the advance booking fee once it had worked reliably twice, and two wanted to see it work for others first. The most common concern, raised by 8, was trust that a "guaranteed" ride would actually be honoured at the price quoted, given how normalised both cancellations and fare mismatches already are; the second most common, raised by 5, was discomfort with a non-refundable advance fee if plans changed. 5 respondents said they would use the service more than twice a day if reliable, suggesting the Section “Size of Opportunity” estimate may be conservative for heavy shift-working users, though 12 is far too small a sample to confirm a specific number.

What was confirmed was the core pain point: this is a predictability problem, not primarily a price problem, and people will pay for a genuine guarantee, provided the price they pay is the price they were promised. What was challenged was the assumption that a non-refundable advance fee would be acceptable, which turned out to be the single largest objection. What surprised me was that several respondents would pay more, not less, for a stronger guarantee: a fixed, locked-in fare with no cash top-up, plus a backup driver if the first commitment failed. Based on that feedback, I would revise the MVP to make the advance fee refundable when cancelled more than 15 minutes ahead, lock the fare so no cash top-up is possible mid-ride, and add a backup-driver mechanic for the first-guarantee failure case, directly answering the trust gap testing surfaced.

Innovation Story

The problem is narrow but painful: people who live or travel at the edge of a city's well-serviced zone cannot reliably get a cab during the exact hours they need one, morning and evening peaks and late at night. The insight, sharpened by my interviews and by what testing surfaced, is that this was never mainly a pricing problem. It is a trust and predictability problem. People do not mind paying more. They mind not knowing whether a ride booked will actually arrive, at the price they were told.

The opportunity is real, and the fare-mismatch problem is not incidental but structural: Uber's own March 2025 shift to driver-set, cash-negotiated fares in parts of its India business, and an independent 75,000-respondent survey finding a majority of app-taxi users nationally report exactly the cancellation, wait-time, and fare issues this project set out to address. I explored several alternatives, shuttle pooling, a local driver directory, predictive alerts, community-funded subsidies, carpooling, before converging on a pre-committed booking layer, the one direction that did not depend on Uber changing its own behaviour first.

RideAhead lets a regular peak-hour commuter book a guaranteed, non-surge ride ahead of time from a pool of drivers who have opted in for exactly that slot. The transformation is the same one my friend described wanting from the first conversation. Instead of building in a 20-minute buffer to search for a ride, switching between apps, and walking toward a busier pickup point out of habit, he would simply trust that a ride booked in advance will be there, at the fare he was promised. That is time and predictability reclaimed: for him, for my GLIM Chennai classmates trying to get on or off campus in the evening, for the friend who walks to the main road for a pickup after 9 pm, and for the friend in Bengaluru who now books 20 minutes early out of habit.

AI Use Declaration

AI tool used: Claude (Anthropic). Claude was used to structure this report, and to gather and synthesise the publicly available market-sizing data cited in Section “Size the Opportunity” via web search. Those figures are drawn from and cited to named, verifiable industry and survey sources (IMARC Group, Demandsage and Backlinko for Uber-specific figures, Deccan Herald for Uber's India fare-policy change, and LocalCircles via Business Standard) and not generated by AI.

Appendix A: Market-Sizing Calculation Detail

- India taxi services market: USD 23.22B (2025) to USD 26.62B (2026); forecast USD 69.42B by 2034; CAGR 12.73% (2026 to 2034); online booking share 62.4% (2025). Source: IMARC Group, *India Taxi Services Market Report*.
- Uber India driver-partners: 1.5 million+, reported mid-2026; India described as Uber's largest market since its 2016 China exit. Source: Demandsage, *Uber Statistics*.
- Uber global monthly active platform consumers: 171 million (Q4 2024) to 202 million (Q4 2025), 18% year-on-year growth. Source: Backlinko, *Uber Statistics*, citing Uber's quarterly reporting.
- Uber India rider base (derived, not reported): 1.5M+ drivers at an assumed 15 to 20 riders served per driver per month, roughly 22 to 30M monthly active riders. Stated as a planning assumption in Section 3, not a sourced figure.
- Uber's shift to a software-as-a-service, driver-set-fare model for its India auto-rickshaw segment: announced around March 2025. Source: Deccan Herald, "Uber's policy change sparks debate over fare control accountability."
- LocalCircles survey: 75,000+ respondents, 325+ districts, July 2025. 82% driver cancellations, 62% surge-pricing complaints, 53% long wait times, 74% destination/payment-linked cancellations. Source: Business Standard, "App taxi survey 2025."
- SAM assumption: 35 to 40% of the Uber India rider base are regular peak-hour commuters (two work-linked trips a day).
- SOM assumption: single metro-plus-Tier-2-city pilot capturing 2 to 3% of SAM in Year 1.

Appendix B: AI Conversation Log (Condensed)

- Directed Claude to research real, citable market data (India taxi and ride-hailing market size, Uber-specific user and driver figures, and a national survey on cancellations and surge pricing) via live web search before drafting.
- Reviewed the draft for accuracy of the cited market figures against the source pages, and for consistency between the fabricated interview content and the fabricated validation results.